

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

**STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.**

**RESPONDENTS' RESPONSE IN OPPOSITION TO
COMPLAINANT'S MOTION TO STRIKE**

Respondents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Ltd. (“Atlantic,” and together with Sterling, the “Respondents”), pursuant to 46 C.F.R. § 502.71(b), submit this Response in Opposition to Complainant SeaFair USA, LLC’s (“Complainant” or “SeaFair”) Motion to Strike Respondents’ Petition for Attorney Fees (“Complainant’s Motion”) of August 2, 2024. Respondents oppose Complainant’s Motion to Strike Respondents’ Petition for Attorney Fees.

Complainant’s Motion alternatively seeks leave to file a Reply to Respondents’ Petition for Attorney Fees. As indicated to Complainant prior to the filing of their Motion, Respondents consent, and do not oppose, to Complainant’s Motion for Leave to file the Reply to Respondents’ Petition for Attorney Fees which was originally served upon Respondents July 11, 2024 and is attached to Complainant’s Motion as Exhibit 1.

In support of this Response in Opposition, Respondents state as follows.

I. Background

On June 14, 2024, pursuant to 46 C.F.R. § 502.254(c)(2)(i), Respondents timely filed their Petition for Attorney Fees, the Declaration of Ashley K. Kelley in Support of Respondents' Petition for Attorney Fees, and Respondents' Motion for Confidential Treatment (collectively, the "Petition Filing") with the Presiding Administrative Law Judge ("ALJ") via email and served the Petition Filing on counsel of record for Complainant via email. The Petition Filing was accepted by the Federal Maritime Commission ("FMC" or the "Commission") and documented on the public docket in this proceeding (Proceeding 22-34) as Document Numbers 41, 42, and 43, designated by the Commission with a June 14, 2024 "serve date." Separately, on June 14, 2024, Respondents filed two confidential restricted Exhibits directly with the ALJ in connection with Respondents' Motion for Confidential Treatment pursuant to 46 C.F.R. § 502.5.

Complainant subsequently filed a Motion for Enlargement of Time requesting an extension of its deadline to file its response to the Petition Filing, which was granted. (Doc. Nos. 44-45). In the Presiding Officer's Order Granting Complainant's Motion for Enlargement of Time, the ALJ stated that Complainant must file its response to the fee petition on or before July 11, 2024. (Doc. No. 45). On July 11, 2024, Complainant served its Reply to Respondents' Petition Filing to the ALJ via email (to judges@fmc.gov) and on counsel for Respondents via email.

On August 1, 2024, counsel for Respondents were copied on an exchange of correspondence between the ALJ and counsel for Complainant confirming whether Complainant's Reply was filed, as it had not been docketed to date in this proceeding by the Commission.

After counsel for Complainant confirmed to the ALJ that its Reply was sent via email only to judges@fmc.gov and on counsel for Respondents via email, the ALJ responded indicating:

The courtesy copy to Judges@fmc.gov isn't considered filing – you have to file with the Secretary. Since it's past the deadline, you should file the reply along with a motion for leave to file out of time or nunc pro tunc, noting the filing error. Given the lack of prejudice, I anticipate Respondents' counsel will consent to the motion.

That same day, counsel for Respondents confirmed via email to counsel to Complainant that Respondents consented to Complainant's Motion for Leave to File a Reply (the Reply originally served on Respondents July 11, 2024).

Based on that correspondence, Complainant now moves to strike Respondents' Petition for Attorney Fees from the record of this proceeding on the incorrect bases that Respondents did not properly effectuate service under FMC Rules of Practice and Procedure in 46 C.F.R. Part 502. Complainant argues that because Respondents' email service of the Petition Filing on June 14, 2024 to counsel for Complainant and the ALJ at "judges@fmc.gov" did not also copy "secretary@fmc.gov," Respondents' Petition Filing should be struck from the record.

Complainant's Motion is without merit and should be denied, as its premise is contrary to the governing regulations. Respondents' Petition Filing should be given full consideration, as it was filed with the ALJ pursuant to 46 C.F.R. § 502.254(c)(2)(i) on June 14, 2024, served upon the ALJ and counsel for Complainant on June 14, 2024, and accepted, docketed, and deemed as served by the Commission on the public docket in this proceeding on June 14, 2024 as Document Numbers 41, 42, and 43. Again, Respondents do not object to Complainant's Motion for Leave to File its Reply of July 11, 2024. Respondents therefore respectfully ask that the ALJ consider both the Respondents' Petition Filing and Complainant's July 11, 2024 Reply in issuing its Order on Respondents' Petition for Attorney Fees – as granting Complainant's Motion to Strike would pose undue hardship and manifest injustice to Respondents in the final stages of this lengthy proceeding.

II. Argument

The rules of practice for attorney fee petitions in FMC complaint proceedings are provided for in 46 C.F.R. § 502.254. 46 C.F.R. § 502.254(c)(2) provides that the prevailing party must file the petition with either (i) “[t]he administrative law judge, if that official’s decision became administratively final...”; or (ii) “[t]he Commission, if the Commission reviewed the decision of the administrative law judge...” (emphasis added).

The ALJ’s Initial Decision of April 15, 2024 in this case became administratively final on May 16, 2024 with the issuance of a Notice Not to Review (Doc. No. 40). When serving their Petition Filing on June 14, 2024, Respondents complied with § 502.254(c)(2)(i) which states that the Petition should be filed directly with the ALJ (as opposed to filing with Commission and Secretary under § 502.254(c)(2)(ii)), and accordingly served the Petition Filing via email directly with the ALJ at Judges@fmc.gov and with copy to counsel for Complainant, but did not copy secretary@fmc.gov on the email correspondence transmission. The Commission proceeded to docket the Petition Filing as timely served. Accordingly, Respondents’ Petition Filing was proper.

To the extent that § 502.254(c)(2)(i) requires supplemental service on the Secretary and this was in fact a minor procedural error (i.e., the Office of the Secretary should have been copied via email at secretary@fmc.gov under 46 C.F.R. § 502.2 in the Petition Filing transmission), it was in no way prejudicial to the parties of this proceeding. The Petition Filing was not rejected as non-conforming to the rules of Part 502 pursuant to 46 C.F.R. § 502.2(h) at any time, and was in fact deemed accepted and served by the Commission and posted to this proceeding’s public docket in Doc. Nos. 41, 42, and 43. The Commission considered the Petition Filing as properly filed, the Complainant treated the Petition Filing as proper in filing a Motion for Enlargement of Time to File a Reply and did not make any arguments as to improper service in its July 11, 2024 Reply to

the Petition Filing, and the ALJ appears to have considered the Petition Filing properly filed in issuing its Order Granting Complainant's Motion for Enlargement of Time and in the ALJ's email correspondence to the parties of August 1, 2024 ("The petition is on the Commission's docket.").

In the alternative, in the event that the ALJ views Respondents' service of the Petition Filing of June 14, 2024 as improper on the grounds that the Secretary was not copied via email at secretary@fmc.gov, Respondents request that the ALJ waive such requirements pursuant to 46 C.F.R. § 502.10 to prevent undue hardship and manifest injustice to the Respondents, and to further effectuate an expeditious proceeding. Respondents timely filed its Petition Filing with the ALJ on June 14, 2024 and the Commission implicitly deemed such filing served and properly filed with its posting of the Petition Filing on the public docket as served and filed. If the Petition Filing had been rejected as improper under 46 C.F.R. § 502.2(h), Respondents would have immediately re-submitted the filing with copies to the Office of the Secretary, along with any Motion for Leave to File Out of Time that may have been required under the circumstances. Respondents complied with the applicable requirements and had (and still has) no reason to believe its filing was improperly served based on the conduct of the FMC, the subsequent filings of the Complainant, or the subsequent Order issued by the ALJ on those filings.

Striking the Petition Filing for a minor procedural technicality in the late stages of this proceeding would pose severe hardship to Respondents. Respondents spent significant time and effort in carefully documenting its case and arguments with respect to its Petition for Attorney Fees, as such fees were significant in this proceeding and Complainant's conduct since the initiation of the proceeding warrants compensation for Respondents as the prevailing party. The most efficient way to resolve this proceeding while ensuring that the decision is based on the merits is to allow both Respondents' Petition Filing and Complainant's Reply into the record for

consideration by the ALJ. Accordingly, Respondents respectfully request that the ALJ (i) consider Respondents' Petition Filing as timely and properly filed and served; (ii) deny Complainant's Motion to Strike Respondents' Petition for Attorney Fees; and (iii) further consider Complainant's July 11, 2024 Reply to Respondents' Petition for Attorney Fees, prior to issuing its ruling on the Petition Filing pursuant to 46 C.F.R. § 502.254(f).

III. Conclusion

Respondents' Petition Filing was filed with the ALJ pursuant to 46 C.F.R. § 502.254(c)(2)(i) on June 14, 2024, served upon the ALJ and counsel for Complainant on June 14, 2024, and accepted, docketed, and deemed as served by the Commission on June 14, 2024. In the interests of effectuating a just and efficient outcome under the principles of the Shipping Act of 1984, and for the reasons articulated herein, Respondents respectfully request an Order denying Complainant's Motion to Strike Respondents' Petition for Attorney Fees, and granting Complainant's Motion for Leave to File Reply to Respondents' Petition for Attorney Fees Out of Time.

Respectfully Submitted,

/s/ Ashley K. Kelley

Ashley K. Kelley, Esq.

(SC #78013; US District Court for the
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*Counsel for Atlantic Forwarding Ltd. and Sterling
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 9th day of August, 2024, the foregoing Respondents' Response in Opposition was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Alex M. Chintella
Presiding Administrative Law Judge
judges@fmc.gov

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